

SLC acquires remaining stake in LandCo

The News:

This morning, SLC announced the acquisition of the 18.8% stake held by Valiance in SLC LandCo for R\$524.8mn. The amount will be paid in two installments: one-third in October 2024 and the remaining two-thirds in March 2025. SLC LandCo owns 86.8k hectares of land. According to SLC, this acquisition will provide greater flexibility for the company to expand its operations through leasing contracts.

Our Take:

Today's announcement marks the conclusion of a 12-year partnership between SLC and Valiance. SLC LandCo now controls 86.8k hectares spread across seven farms, with 53.9k hectares available for farming. This acquisition values the land bank at R\$51.8k per hectare (just shy of USD10k per hectare). Considering Valiance originally paid USD53mn for its 18.8% stake, the original valuation of LandCo's farms was approximately USD1.4k per hectare. Thus, the current valuation reflects a 6x increase in land value over the period, demonstrating strong land price appreciation in the period.

There are two main ways to assess the price SLC paid for Valiance's share. The first method, which we believe was used to base the deal, relies on SLC's official appraisal. Deloitte's recent appraisal valued SLC's land at R\$57.6k per hectare, meaning the acquisition was done at a 10% discount. While we don't have specific appraisals for the farms acquired, we believe the valuation is likely close to the portfolio average given the region's more than 10 years of development—if not higher.

However, the second perspective suggests the deal might not be as accretive. The market doesn't fully price in the company's land value. If we consider SLC's total planted area from last year, the company is currently trading at an EV/planted area of R\$22.4k per hectare, meaning the price paid for Valiance's stake is 130% higher than SLC's trading multiples.

From a qualitative standpoint, this acquisition should provide SLC with greater flexibility to invest and expand operations in the region. The company has already hinted at several opportunities nearby, particularly in Bahia, where irrigation projects have been discussed. With full control over LandCo, SLC will likely have more freedom to pursue these growth initiatives.

While we anticipate that the market's initial reaction may be cautious due to the fact that SLC is adding more owned land to the portfolio (as opposed to the asset-light model that has been so fruitful to SLC in recent years), we believe that in the long term, this move will unlock new growth opportunities. As highlighted in our recent report (see [here](#)), SLC remains a compelling long-term structural opportunity, trading at an 8% FCF yield for 2025 and 9% for 2026 even under multi-year low commodity prices. Additionally, the sub-1x P/NAV offers a floor for the stock. We maintain our BUY rating.

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Table 1: There are two ways of assessing the price paid for Valiance's stake: using Deloitte's appraisal of SLC's land or SLC's trading multiples

Using appraisal		Using trading multiples	
LandCo (hectares)	53,864	SLC's planted area (ha)	654,460
Acquired stake	18.8%	Mkt cap (R\$mn)	7,864
Amount paid (R\$mn)	525	Net debt (R\$mn)	6,792
Implied Valuation (R\$mn)	2,791	EV (R\$mn)	14,656
Paid EV/Per hectare (R\$)	51,825	Paid EV/Per hectare (R\$)	51,825
Appraisal (R\$/ha)	57,555	EV/Per hectare (R\$)	22,394
<i>Upside</i>	<i>11.1%</i>	<i>Downside</i>	<i>-57%</i>

Source: Company / BTG Pactual

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SLC Agrícola	SLCE3.SA	Buy	R\$17.93/US\$3.28	2024-10-07
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SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%